

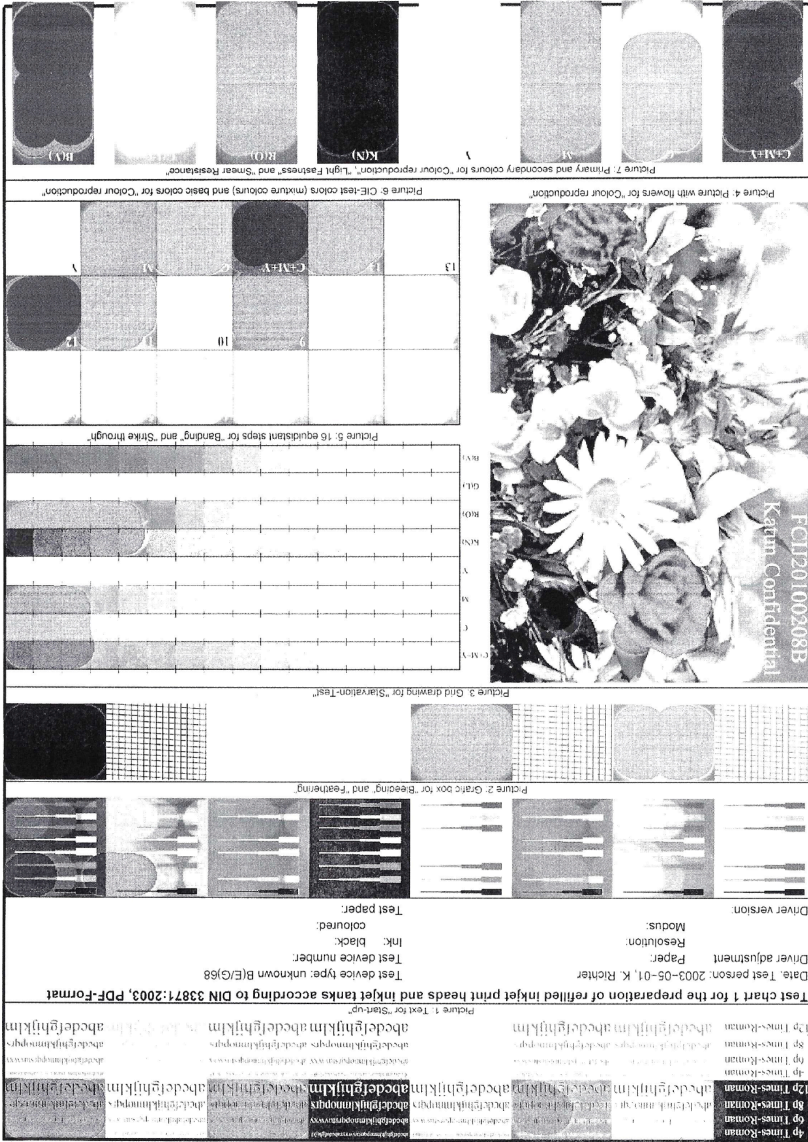
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It was quite possible that free trade might reduce workers' share of the national income, but since trade would also enlarge the market, even if foreign competition depressed "nominal" wages, it would also reduce the price of importable goods. Depending on the consumption patterns, workers' purchasing power might then increase, even if their wages fell.

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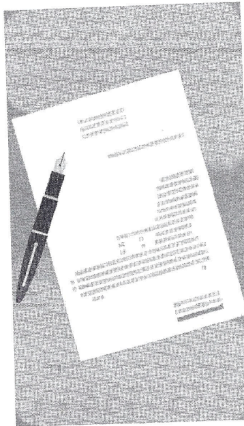
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The prisoner's dilemma

Prisoner B Keep quiet or Confess	Prisoner A Keep quiet 10 years jail for one year	Prisoner A Confess 1 year for one year
	Prisoner B Keep quiet 10 years jail for one year	Prisoner B Confess 5 years for one year

Prisoner A's best choice is to confess, no matter what Prisoner B chooses. The same is true for Prisoner B. The only way to avoid the 10-year sentence is for both prisoners to keep quiet. But if they both choose to confess, they will each serve 5 years in jail.

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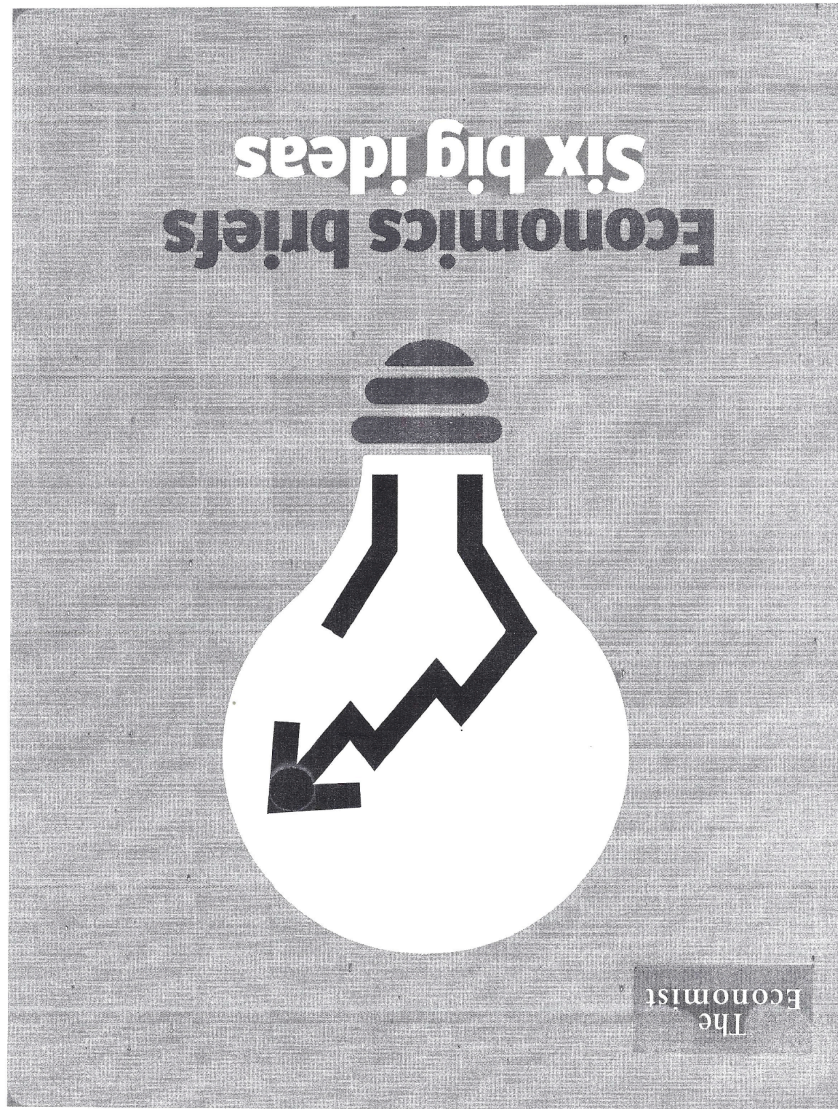


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Economics brief

The Economist 9

It was quite possible that free trade might reduce workers' share of the national income. But since trade would also enlarge that income, it should still leave workers better off, most economists felt. Moreover, even if foreign competition depressed "nominal" wages, it would also reduce the price of importable goods. Depending on their consumption patterns, workers' purchasing power might then increase, even if their wages fell.

Working hypothesis

There were other grounds for optimism. Labour, unlike oil, arable land, blast furnaces and many other productive resources, is required in every industry. Thus no matter how a country's industrial mix evolves, labour will always be in demand. Over time, labour is also versatile and adaptable. If trade allows one industry to expand and obliges another to contract, new workers will simply migrate towards the sunlit industrial uplands and turn their backs on the sunset sectors. "In the long run the working class as a whole has nothing to fear from international trade," concluded Gottfried Haberler, an Austrian economist, in 1936.

Stolper was not so sure. He felt that Ohlin's model disagreed with Haberler even if Ohlin himself was less clear-cut. Stolper shared his doubts with Samuelson, his young Harvard colleague. "Work it out, Wollie," Samuelson urged.

The pair worked it out first with a simple example: a small economy blessed with abundant capital (or land), but scarce labour, making watches and wheat. Subsequent economists have clarified the intuition underlying their model. In one telling, watchmaking (which is labour intensive) benefits from a 10% tariff. When the tariff is repealed, watch prices fall by a similar amount. The industry, which can no longer break even, begins to lay off workers and vacate land. When the dust settles, what happens to wages and land rents? A layman might assume that both fall by 10%, returning the watchmakers to profit. A clever layman might guess instead that rents will fall by less than wages, because the shrinkage of watchmaking releases more labour than land.

Both would be wrong, because both ignore what is going on in the rest of the economy. In particular, wheat prices have not fallen. Thus if wages and rents both decrease, wheat growers will become unusually profitable and expand. Since they require more land than labour, their expansion puts more upward pressure on rents than on wages. At the same time, the watch industry's contraction puts more downward pressure on wages than on rents. In the push and pull between the two industries, wages fall disproportionately

ately—by more than 10%—while rents, paradoxically, rise a little.

This combination of slightly pricier land and much cheaper labour restores the modus vivendi between the two industries, halting the watchmakers' contraction and the wheat-farmers' expansion. Because the farmers need more land than labour, slightly higher rents deter them as forcefully as much lower wages attract them. The combination also restores the profits of the watchmakers, because the much cheaper labour helps them more than the slightly pricier land hurts them.

The upshot is that wages have fallen by more than watch prices, and rents have actually risen. It follows that workers are unambiguously worse off. Their versatility will not save them. Nor does it matter what mix of watches and wheat they buy.

Stolper, Samuelson and their successors subsequently extended the theorem to more complicated cases, albeit with some loss of crispness. One popular variation is to split labour into two—skilled and unskilled. That kind of distinction helps shed light on what Stolper later witnessed in Nigeria, where educated workers were vanishingly rare. With a 90% tariff, Kaduna Textile Mills could afford to train local foremen and hire technicians. Without it, Nigeria would probably have imported textiles from Lancashire instead. Free trade would thus have hurt the "scarce" factor.

In rich countries, skilled workers are abundant by international standards and unskilled workers are scarce. As globalisation has advanced, college-educated workers have enjoyed faster wage gains than their less educated countrymen, many of whom have suffered stagnant real earnings. On the face of it, this wage pattern

is consistent with the Stolper-Samuelson theorem. Globalisation has hurt the scarce "factor" (unskilled labour) and helped the abundant one.

But look closer and puzzles remain. The theorem is unable to explain why skilled workers have prospered even in developing countries, where they are not abundant. Its assumption that every country makes everything—both watches and wheat—may also overstate trade's dangers. In reality, countries will import some things they no longer produce and others they never made. Imports cannot hurt a local industry that never existed (nor keep hurting an industry that is already dead).

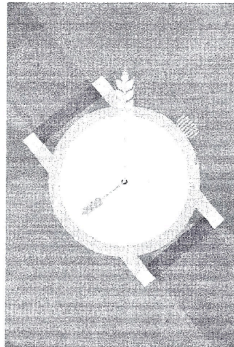
Some of the theorem's other premises are also questionable. Its assumption that workers will move from one industry to another can blind it to the true source of their hardship. Chinese imports have not squeezed American manufacturing workers into less labour-intensive industries; they have squeezed them out of the labour force altogether, according to David Autor of the Massachusetts Institute of Technology and his co-authors. The "China shock", they point out, was concentrated in a few hard-hit manufacturing localities from which workers struggled to escape. Thanks to globalisation, goods now move easily across borders. But workers move uneasily even within them.

Grain men

Acclaim for the Stolper-Samuelson theorem was not instant or universal. The original paper was rejected by the American Economic Review, whose editors described it as "a very narrow study in formal theory". Even Samuelson's own textbook handled the proposition gingerly. After acknowledging that free trade could leave American workers worse off, he added a health warning: "Although admitting this as a slight theoretical possibility, most economists are still inclined to think that its grain of truth is outweighed by other, more realistic considerations," he wrote.

What did Stolper think? A veteran of economic practice as well as principles, he was not a slave to formalism or blind to "realistic considerations". Indeed, in Nigeria, Stolper discovered that he could "suspend theory" more easily than some of his politically minded colleagues (perhaps because theory was revealed to them, but written by him).

He was nonetheless sure that his paper was worth the fuss. He said he would give his left eye to produce another one like it. By the paper's 50th anniversary, he had indeed lost the use of that eye, he pointed out wistfully. The other side of the bargain was, however, left unfulfilled: he never did write another paper as good. Not many people have. ■



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